



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

BUSINESS STUDIES

6897/02

Paper 2

SPECIMEN 2027-2029

Total marks: 80

Confidential

MARK SCHEME

TO LEVELS-BASED MARKING TABLES

1. Column 1 describes levels based on the quality of responses produced by candidates
 - level 1 response is where the candidate has only listed relevant points without providing the required analysis or explanation. A good level 1 response yields a maximum of 3 marks
 - A level 2 response is where a candidate has identified relevant point (s) and went on to provide the required analysis or explanation. A good level 2 response yields a maximum of 8 marks
 - A level 3 response is where a candidate has identified relevant points, analysed them and evaluated them as per the requirements of the question. A perfect level 3 response can yield 12 marks
2. Column 2 guides markers on how application marks should be awarded. For example, a level 1 candidate can only get a maximum of 1 mark for application if and when stated while level 2 and level 3 candidates can possibly get a maximum of 2 marks for the application. No candidate should be awarded more than 2 marks for an application in a given essay.
3. Column 3 guides markers on how marks should be awarded on knowledge, analysis and application skills.
 - A level 1 response can only attain a maximum of 2 knowledge marks for two (2) stated points. No marks should be awarded for analysis and evaluation to a level 1 response. If the required application has been demonstrated in the response, a candidate can attain 1 mark for the application. Therefore, a level 1 response is limited to a maximum of 3 marks.
 - A level 2 response can only attain a maximum of 6 marks for two (2) analysed points. No marks for knowledge and evaluation should be awarded to a level 2 response. If required application has been demonstrated in the response, a candidate can attain an additional 2 marks for application. Therefore, a level 2 response is limited to a maximum of 8 marks.
 - A level 3 response can only attain a maximum of 6 marks for two (2) well-analysed points plus 4 marks for evaluation. If the required application has been demonstrated in the response, a candidate can attain 2 additional marks for the application. Therefore, a level 3 response is limited to a maximum of 12 marks.
4. Awarding total marks in levels-based marking:
Guidance for marking part (b).
 - The essay requires 4 points in total.
 - A candidate (L1 candidate) will list points without any analysis (explanation) and will get a maximum of 2 marks for knowledge and a maximum of 1 mark for application if and when it is shown. [L 1 candidate gets a maximum of 3 marks]
 - A candidate (L2 candidate) will explain an advantage and a disadvantage. The candidate will get a maximum of 6 marks and 2 marks for the application if and when it is shown. [L 2 candidate gets a maximum of 8 marks: 2 L1 marks + 4 L2 marks +2 app marks]
 - [L3 candidate will state and explain the 2 points [advantage and disadvantage] and further evaluate/or take a stand showing both the cons and pros of the decision taken, which amounts to 4 marks for the evaluation. The candidate will get a maximum of 12 marks: [2 L1 marks + 4 L2 marks+2 app marks + 4 L3 marks.

Levels	Application	Knowledge/analysis/evaluation	Totals
3		7-10 marks for demonstrated analysis and evaluation	12 marks (max.)
2	2 marks maximum for reference to case	4-6 marks for demonstrated analysis	8 marks (max.)
1	1 mark for limited reference to case	1-2 marks for stating 3 relevant points	3 marks (max.)

Mark scheme		Syllabus	Paper								
EGCSE Business Studies SPECIMEN 2027-2029		6897	02								
Question	Answer	Marks	Guidance								
1. (a)	Street Swag is a clothing outlet that produces for different market segments. Explain two ways in which Street Swag can segment its market. Content: Example: • Age • Culture • Gender • Income • Occupation • Religion • Geographic location Example: Age (1k) Street Swag can produce t-shirts for children, the youth and for old people (1k). This would make it possible for the business to sell different kinds of t-shirts (1app) and attract a wide range of customers. More sales would be made (1an). [2k, 1app, 1an] x 2 points analysed	8	One knowledge mark should be awarded for stating each correct/ relevant point. Another knowledge mark should be awarded for describing identified point. One application mark should be awarded for applying to the case or business context. One analysis mark should be awarded for explaining how or why the identified point could benefit the business.								
(b)	Eric has advised Kev to convert the business into a close corporation. Do you think that operating as a close corporation will be a good business decision? Justify your answer. Content: <table><tr><th>Advantages of close corporations</th><th>Disadvantages close corporations</th></tr><tr><td> • Limited liability </td><td> • Membership limited to ten people. </td></tr><tr><td> • Members have continuity </td><td> • Cannot become a subsidiary company </td></tr><tr><td> • Separate legal entity </td><td> • Decision making could take long </td></tr></table>	Advantages of close corporations	Disadvantages close corporations	• Limited liability	• Membership limited to ten people.	• Members have continuity	• Cannot become a subsidiary company	• Separate legal entity	• Decision making could take long	12	A maximum 2 (L1) marks should be awarded for stating advantage and disadvantages of close corporations. A maximum of 6 (L2) marks should be awarded for analysed advantages and disadvantages of close corporations. A maximum of 2 application marks should be awarded for applying to the case or to businesses context. A maximum of 4 (L3) marks for evaluation on whether operating as a close corporation Will be a good decision or not.
Advantages of close corporations	Disadvantages close corporations										
• Limited liability	• Membership limited to ten people.										
• Members have continuity	• Cannot become a subsidiary company										
• Separate legal entity	• Decision making could take long										

Mark scheme	Syllabus	Paper
EGCSE Business Studies SPECIMEN 2027-2029	6897	02

Question	Answer	Marks	Guidance
	e.g. Members of a close corporation have continuity (L1), if one member dies or leaves the business will continue printing shirts (app) without having to dissolve the business. In that way the members do not lose any income (L2). However, members are limited to ten people which might limit the growth of the business since capital contributed is limited to what the members raise (L2). Therefore, I think operating as a close corporation is a good business idea since members have limited liability, which limits their liability to the amount they have contributed to the business and not beyond (2L3). Such would not be possible if the business is a partnership since partners have unlimited liability, leaving their personal belongings at risk of liquidation if the business fails to pay its creditors (2L3).		

Levels	Application	Knowledge, Analysis, Evaluation	Total marks
Level 3	2 Marks: Any 2 points well applied to the case	7-10 Marks: Level 2 + Good judgement/ Recommendation on whether operating as a close corporation will be a good decision or not.	9-12
Level 2	2 Marks: Any 2 points well applied to the case	4-6 Marks: Analysed advantage/disadvantage of close corporations.	4-8
Level 1	1 Mark: Limited application	1-2 Marks: List of advantages and /or disadvantages of close corporations.	1-3

Mark scheme		Syllabus	Paper
EGCSE Business SPECIMEN 2027-2029		6897	02
Question	Answer	Marks	Guidance
2. (a)	The business uses both financial rewards and non-financial reward to motivate employees. Explain one financial reward and one non-financial reward that could be used by Street Swag. Content: Financial rewards: salaries, wages, commission, bonus Non- financial reward: discount on t-shirts, free lunch, paid leave Example: Commission (1k) the sales staff could be offered a certain percentage based on the number of t-shirts (1k/1app) sold. This would motivate the staff to make more sales to improve their pay hence increase overall sales (1an). [2k, 1app, 1an] x 2 points analysed	8	One knowledge mark should be awarded for stating each correct relevant point. Award another knowledge mark for describing identified point. Award application mark for applying to the case or business context. Award analysis mark for explaining how or why the identified point could benefit the business.
(b)	Kev uses an autocratic leadership style. He believes this is the best style to use when managing workers. Do you think the autocratic leadership style is the best? Justify your answer. Content: Advantages of the autocratic leadership style: Decisions are made quickly, work well for low-skilled or inexperienced workers, gets work done in time. Disadvantages of the autocratic leadership style: Demotivates workers, separates managers and workers, one-way communication, and ignores workers' ideas. Example: The autocratic leadership style could demotivate the t-shirt printers (1app) / (L1). As they do not get to make any input with regards to their work as their manager tells them what to do and how to do it (L2). However, it gets work done in time as no time is wasted discussing what has to be done (L1). That way the business gets to meet its targets and keep customers happy (L2). I therefore think the autocratic leadership style is good for business since it works well for low-skilled or inexperienced workers since they get the support and guidance needed from the manager and minimize mistakes and wastage (2L3). This would be impossible if they were left to do their work as they see	12	A maximum 2 (L1) marks should be awarded for stating advantages and disadvantages of the autocratic leadership style A maximum of 6 (L2) marks should be awarded for analysed advantages and disadvantages of the autocratic leadership style A maximum of 2 application marks should be awarded for applying to the case of to business.

	fit like in the laissez-faire leadership style, which could lead to losses (2L3)		
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Levels	Application	Knowledge, Analysis, Evaluation	Total marks
Level 3	2 Marks: Any 2 points well applied to the case	7-10 Marks: Level 2 + Good judgement/ Recommendation on whether the autocratic leadership style is good for business or not.	9-12
Level 2	2 Marks: Any 2 points well applied to the case	3-6 Marks: Analysed advantage/disadvantage the autocratic leadership style.	4-8
Level 1	1 Mark: Limited application	1-2 Marks: List of advantages and /or disadvantages of the autocratic leadership style.	1-3

Mark scheme		Syllabus	Paper				
EGCSE Business Studies SPECIMEN 2027-2029		6897	02				
Question	Answer	Marks	Guidance				
3. (a)	Kev has decided to open two more branches so that the business could benefit from economies of scale. Explain two types of economies of scale that Street Swag could benefit from as it expands. Content: Types of economies of scale: • Purchasing • Marketing • Financial • Technical • Managerial Any other applicable Example: Purchasing economies of scale (1k) the business could buy t-shirts (1app) in large quantities and receive discounts (1k). This would reduce the business cost and increase profit (1an) [2k, 1app, 1an] x2 points analysed	8	One knowledge mark should be awarded for stating each correct relevant point. Another knowledge mark should be awarded for describing identified point. One application mark should be awarded for applying to the case or business context. One analysis mark should be awarded for explaining how or why identified point could benefit business.				
(b)	Kev supports the objectives of the Southern African Development Community (SADC) and he wants to take advantage of existing free trade agreements. Do you think the free trade agreements in the SADC would benefit businesses like Street Swag? Justify your answer. Content: <table><tr><th>Advantages of international trade</th><th>Disadvantages of international trade</th></tr><tr><td> • Access to new / wider markets • Removes / reduces trade barriers • Knowledge transfer / exchange of ideas, products, cultures and services • Adoption of new innovations • Technological transfer </td><td> • Unfair international competition • Increase in freight insurance • Transportation costs increase due to long distance • Political unrest in foreign countries </td></tr></table> Example: Trade agreements may remove trade barriers or allow import and export quotas (L1) making it cheaper for the business to buy stock of t-shirts (1 app) cheaper which would lead to improved profits (L2). However, trade agreements could be used as trade weapons against countries that do not comply, which have negative impact on	Advantages of international trade	Disadvantages of international trade	• Access to new / wider markets • Removes / reduces trade barriers • Knowledge transfer / exchange of ideas, products, cultures and services • Adoption of new innovations • Technological transfer	• Unfair international competition • Increase in freight insurance • Transportation costs increase due to long distance • Political unrest in foreign countries	12	A maximum 2 (L1) marks should be awarded for stating advantages and disadvantages of the autocratic leadership style A maximum of 6 (L2) marks should be awarded for analysed advantages and disadvantages of the autocratic leadership style A maximum of 2 application marks should be awarded for applying to the case of to business. A maximum of 4 (L3) marks for evaluation on whether trade agreements benefit the country and its businesses or not
Advantages of international trade	Disadvantages of international trade						
• Access to new / wider markets • Removes / reduces trade barriers • Knowledge transfer / exchange of ideas, products, cultures and services • Adoption of new innovations • Technological transfer	• Unfair international competition • Increase in freight insurance • Transportation costs increase due to long distance • Political unrest in foreign countries						

	businesses as they may not have access to markets (L2) . I therefore think trade agreements may benefit the country and its businesses since it promotes economic growth as businesses have access to wider markets, hence encourages business expansion (2L3) . This may however discourage foreign investment as countries have easy and cheap access to resources (2L3) .		
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Levels	Application	Knowledge, Analysis, Evaluation	Total marks
Level 3	2 Marks: Any 2 points well applied to the case	7-10 Marks: Level 2 + Good judgment/ Recommendation on whether or not trade agreements benefit the country and businesses.	9-12
Level 2	2 Marks: Any 2 points well applied to the case	4-6 Marks: well explained advantages and disadvantages of trade agreements.	4-8
Level 1	1 Mark: Limited application	1-2 Marks: List of advantages and /or disadvantages of trade agreements.	1-3

Mark scheme	Syllabus	Paper
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Question	Answer	Marks	Guidance
4. (a)	The Government is concerned about the external costs and external benefits of the businesses operating at Nhlangano. Explain one external cost and one external benefit that could result from the operation of Street Swag. Content: External costs: pollution, sickness, exploitation of workers External benefits: employment, infrastructure, skills, tax revenue Example: External cost: Sickness (1k): the workers may be at risk of sickness from paint fumes (1app) used when printing and making graphics on the t-shirts. This may be harmful to them and cause sicknesses (1an). External benefit: Employment opportunities (1k): people from Nhlangano stand a chance of being hired in the clothing (1app) business. This will help improve their standard of living (1an). [4k, 2app, 2an]	8	One knowledge mark should be awarded for stating each correct relevant point. Another knowledge mark should be awarded for describing identified point. One application mark should be awarded for applying to the case or business context. One analysis mark should be awarded for explaining how or why identified point could benefit business.

(b)	Refer to appendix 3 that shows Street Swag's financial information. Calculate the business's break-even quantity for 2025 and 2026 and advise Kev if the business will be able to generate enough profit to finance its growth. BEP 2025: $\text{BEP} = \frac{\text{Total fixed costs}}{\text{Contribution margin}}$ $= \frac{\text{E12000}}{\text{E150} - \text{E90}}$ =200 units BEP 2026: $\text{BEP} = \frac{\text{Total fixed costs}}{\text{Contribution margin}}$ $= \frac{\text{E18000}}{\text{E170} - 50}$ = 150 units Evaluation: The business broke-even at 200 units and 150 units in 2025 and 2026 respectively. This shows that it is improving. The business can use its retained profits to finance the conversion into a Close Corporation. Its average cost has decreased which means its profit has increased.		
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Levels	Application	Knowledge, Analysis, Evaluation	Total marks
Level 3		7-10 Marks: Level 2 + Good comment on calculations & judgement/ recommendation based on the calculations.	9-12
Level 2	2 marks for correct substitution of figures from appendix	3-6 Marks: correct calculations of at least 2 of information obtained in the appendix	4-8
Level 1		1-2 Marks: List of figures without any correct calculations.	1-3